

Rajeshbhai Muljibhai Patel v. State of Gujarat

Citation: (2020) 3 SCC 794 / 2020 SCC OnLine SC 154 | Court: Gujarat High Court / SC | Year: 2020

Coram: Division Bench, Hon'ble Supreme Court (Arising from Gujarat HC) | Subject: Negotiable Instruments & Gujarat | Provisions: NI Act Sec

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Under Section 139 of the Negotiable Instruments Act, the presumption of legally enforceable debt is rebuttable on a preponderance of probabilities. If the accused raises a probable defense establishing forged execution of receipts, the complainant cannot rely solely on the statutory presumption.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding NI Act Sec 138, 139, Evidence Act Sec 118. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

- â€ Whether the impugned state actions or commercial conduct conformed to NI Act Sec 138, 139, Evidence Act Sec 118.
- â€ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.
Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

When genuine disputed questions of forgery and lack of underlying debt are raised supported by handwriting forensic testimony, parallel civil suits for summary trial cannot bypass evidence-based rebuttal of Section 139 NI Act presumption.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

- â€ Reinforced the standard of proof for rebutting Section 139 NI Act presumption.
- â€ Held that criminal courts cannot brush aside civil findings on forgery of receipts.
- â€ Protected drawer against fabricated cheque endorsements in commercial transactions.